# SSE (SSE.L) - Relative Valuation Report

Valuation date: 2026-10-30 | Mode: relative_only deviation (no DCF, no stage 2/4) | Status: PROVISIONAL

## 1. Valuation summary

| Item | Value |
|---|---|
| Currency | GBP (reporting FY2025: GBP millions; LSE quote in pence converted) |
| Current price (close 2026-10-30) | 26.27 |
| Primary multiple (comparables) | EV/EBITDA (bucket-A integrated utility); peer median 11.78x, n = 10 |
| Comparables, p25 - median - p75 per share | 13.01 - 19.28 - 25.27 |
| Median vs price | 19.28 vs 26.27 = -26.6% (vendor EBITDA basis) |
| Issuer-EBITDA sensitivity (median) | 24.14 (adjusted) / 18.19 (reported) vs 26.27 |
| Regression estimate per share | 22.98 (published EUROPE regression, chosen model: PBV, R2 = 0.423) |
| Regression vs price | 22.98 vs 26.27 = -12.5% |

Peer-multiple cross-checks (medians, per share): PE raw 17.50; PBV ROE-scaled 18.03; EV/EBIT 29.14; EV/CF 17.76; EV/Assets 12.17. Published EUROPE regressions: PE (R2 0.201) 23.23; EV/EBITDA (R2 0.262) 40.94. SSE trades at a premium to peers (actual EV/EBITDA 14.7x vs peer median 11.8x; PE 26.7x vs 17.8x); both the peer EV/EBITDA and the published PBV read it ~13-27% rich; the market-wide EV/EBITDA equation reads it ~56% cheap - sector-blind equation, flagged not reconciled.

Basis notes: vendor FY2025 EBITDA 2,850m sits between issuer reported EBITDA 2,738.3m and adjusted 3,349.3m (definition scope; sensitivity retained). Vendor NI to common 1,189m ties issuer reported attributable profit 1,189.4m exactly; adjusted attributable 1,768.1m gives PE value 26.02. Declared FY2025 dividend ~710m (DPS 64.2p) implies payout 0.597 (CF-paid 0.40 underweights final-dividend timing). Vendor Total Debt appears to include equity-classified hybrid capital (73.7m coupon to other equity holders); uniform EV bridge kept, disclosed not harmonized.

No intrinsic (DCF) estimate is produced under the relative_only deviation; stages 1, 2 and 4 are marked skipped_by_deviation in run_state.json.

## 2. Peer set (10 of 10 selected at the Europe step)

| Name | Ticker | Country | Tier | EV/EBITDA / PBV |
|---|---|---|---|---|
| RWE | RWE | Germany | 1 | EVEBITDA 27.1 / PBV 1.2 |
| EDP | EDP | Portugal | 1 | EVEBITDA 11.4 / PBV 1.8 |
| Iberdrola | IBE | Spain | 1 | EVEBITDA 14.8 / PBV 3.0 |
| Acciona Energia | ANE | Spain | 2 | EVEBITDA 8.0 / PBV 1.2 |
| National Grid | NG | United Kingdom | 1 | EVEBITDA 16.3 / PBV 1.7 |
| A2A | A2A | Italy | 1 | EVEBITDA 6.2 / PBV 1.3 |
| Naturgy | NTGY | Spain | 1 | EVEBITDA 8.5 / PBV 2.9 |
| E.ON | EOAN | Germany | 1 | EVEBITDA 13.0 / PBV 2.6 |
| Orsted | ORSTED | Denmark | 2 | EVEBITDA 11.0 / PBV 1.2 |
| Terna | TRN | Italy | 2 | EVEBITDA 12.1 / PBV 2.5 |

Composition: 10 peers Tier 1-2 (7 integrated/regulated utilities, 1 renewables IPP, 2 grid operators), 10/10 Europe-listed - all requirements met at the first (strictest) selection step; no size-band or region relaxation. Pool of 33 candidates + 1 subsidiary evidence row built from issuer-named competitors, sector_adjustments Tier-1 seeds and own research; all extracts reused from the dated cache.

Exclusions documented: Endesa (~70% subsidiary of candidate ENEL, hard gate); CEZ (uniform web source unavailable; MSCI EM listing anyway); ERG/SLR/GRE/SCATC/DRX (below size-band floor EUR 3.80bn); AY/BLX/INE (no common 2026-10-30 price date); ORA (US-listed, World-only pool never reached). ENEL, ENGIE, FORTUM, EDP Renovaveis, CNA, SRG, VER scored above the selected set.

SSE vs selected-peer medians: actual EV/EBITDA 14.7x vs 11.8x; PE 26.7x vs 17.8x; PBV 2.63x vs 1.72x; ROE 10.2% vs ~10.3%; net debt/EBITDA 3.38x vs ~4.2x; EBITDA margin 28.1% vs ~26%; fundamental growth 6.1% vs ~4.0%; beta 0.53 vs ~0.57. Premium multiples consistent with the regulated-RAV growth programme, lower leverage and very high capex/sales

(~26%).

## 3. Method notes and caveats

- Comparable companies: similarity scoring on 8 dimensions; pool-only 5/95% winsorization; Europe step feasible at default caps; per-share values in GBP on uniform vendor FY2025 fundamentals; EV basis = before associates (peers and target inverse both exclude the associates adjustment).
- Primary multiple: EV/EBITDA; min_valid = 6 per standing approval (all headline multiples n = 10). Growth-scaled PE/PEG distorted by Orsted outlier growth - flagged, raw multiples retained.
- Published regressions: Damodaran regressions_multi_2026-01, EUROPE equations, decimal unit policy for DFR/tax (user-approved). Chosen model = highest published R2 (PBV).
- Regression inputs: beta 0.53 (5Y observed); g_eps 15.19% and g_rev 7.71% analyst consensus (sourced); ROE 0.0986 closing book; payout 0.597 declared-dividend basis (CF-paid 0.40 underweights timing, flagged); dfr 0.2526; effective tax 0.2799; roic 0.0747.
- Caveats: (a) regression file ~10 months older than valuation date; (b) published file gives no n, SEy or p-values - residual-band/diagnostic fields n/a_published_route; (c) GLOBAL-equation sign warnings recorded at stage 0, EUROPE equations unaffected but noted; (d) market-wide equations, low R2 - deviation is not proof of mispricing; (e) market-wide EV/EBITDA prediction (21.0x) sits far above the European utility peer median (11.8x) - recorded, not resolved; (f) SSE fiscal year ends March (Mar-2025 basis, not calendarized); (g) 2026 equity raise increased share count to ~1.21bn.
- QA block C: PROVISIONAL - human Spot_check PENDING (recorded, not claimed); ISIN issuer-page verification PENDING; ownership/event audit outstanding. EV-to-equity inverse check passed (associates = 0 on both sides); three reproducibly random EV recomputes matched. No failures; warned items disclosed.
- Data route: stockanalysis.com uniform web route (profile/statistics/financials/history); all figures from the 2026-10-30 cache; vendor figures cross-checked against the SSE FY2024/25 preliminary results (LSE RNS 4968J + sse.com statement PDF; revenue and attributable NI exact ties; EBIT/EBITDA definition gaps documented).

## 4. Sources

- Market data: cache/market/2026-10-30/ (universe.csv = IEUR MSCI Europe IMI proxy; per-candidate EDPRpool_*/ENELpool_* fetches in candidates/; fetch_manifest.json).
- Macro/FX: cache/macro/2026-10-30.json (ECB FX snapshot GBP 0.8338/EUR; GBP 10y default-free 4.8287%; UK Aa3 CRP 0.74% via BP.L stage-0 top-up).
- Company fundamentals: SSE FY2024/25 preliminary results (LSE RNS 4968J + sse.com statement PDF: revenues 10,131.9m; reported EBITDA 2,738.3m; adjusted EBITDA 3,349.3m; operating profit 1,962.2m; attributable NI 1,189.4m; adjusted attributable 1,768.1m; equity 12,064m; net debt 9,513.9m; DPS 64.2p) via relative_inputs.md.
- Vendor route: stockanalysis.com lon/SSE and per-candidate pages (dated 2026-10-30 cache).
- Published regressions: Damodaran regressions_multi_2026-01 (EUROPE), PE / PBV / EV/EBITDA equations, sha256 a894ea86...
- Working files: outputs/SSE.L_2026-10-30/relative/ (comparables.csv, multiples_summary.csv, comparables_audit.xlsx, regression_valuation.xlsx with live formulas, qa_results.md, source_log.csv).

*Academic analysis produced by an automated valuation agent. Not investment advice. All figures cited from the files listed in section 4; nothing recomputed for this report.*